

the all-important independence of thought if he discussed current or potential investments with others. Here are Mr. Buffett's thoughts on the subject:

Despite our policy of candor, we will discuss our activities in marketable securities only to the extent legally required. Good investment ideas are rare, valuable and subject to competitive appropriation just as good product or business acquisition ideas are.^{[16](#)}

—Warren Buffett

I cloned this too, and it has worked out wonderfully. Independence of thought is fundamental to sound investing. And not discussing portfolio positions in real-time keeps noise and distractions down to a minimum. Here are a few more aspects of the Buffett Partnership I considered worthy of cloning:

- Most mutual funds and hedge funds have large numbers of holdings. The typical mutual fund holds over 80 positions. Even though he likely hadn't heard of Kelly, it implicitly made sense to Mr. Buffett to run a concentrated portfolio. It appealed to me as well and I cloned this, too.
- Most hedge funds typically have large institutional investors. Most mutual funds have thousands of mom-and-pop investors. The Buffett Partnerships had neither. It had about a hundred families invested in the funds. Mr. Buffett started with eight initial investors who were close friends and family. He did a good job for them, and they in turn added more funds and brought in more investors. They were his unpaid (and highly effective) sales force. I simply cloned this, too. Pabrai Funds started with eight investors—mostly very close friends. It now has about 400 families invested in the various funds. We are likely one of the only hedge funds around where the \$300 + million in assets belongs to about 400 families from all over the world, with virtually no institutional participation.
- Mr. Buffett ran the Buffett Partnerships without any analysts or other General Partners. All the research into all the investments was done solely by himself. This is highly unusual. Virtually all mutual funds